LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Is Agri Supply Chain Funding?

Developed by www.loanbazaaronline.com

TABLE OF CONTENTS

Sr. No.	Module Name	Page No.
1	Theoretical Foundations, Statutory Definitions & Product Philosophy of Agri Supply Chain Funding	4
2	Structural Taxonomy and Comparative Capital Matrix	6
3	The End-to-End Operational Lifecycle of Agri Supply Chain Finance	8
4	Underwriting Framework, Financial Assessment & Credit Risk Scorecards	10
5	Legal Security Architecture, Contractual Covenants & Statutory Framework	12
6	Suitable Sectors, Business Profiles & Market Alignment	14
7	Pricing Mechanics, Interest Tax Shields & Cost-Benefit Analysis	15
8	Regulatory Compliance, RBI Directions, PSL Norms & Asset Classification	16
9	Comprehensive Real-World Case Study (Mumbai Organic Spices & Agri-Processors Pvt. Ltd.)	18
10	10-Question Professional Certification Examination & Detailed Rationales	21

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Executive Summary & Course Architecture

Agri Supply Chain Funding represents one of the most vital, rapidly evolving financing mechanisms in India's rural and agribusiness landscape. Designed to bridge the critical liquidity gap between agricultural harvesting cycles and industrial consumer distribution, this financial structure integrates farmers, Farmer Producer Organizations (FPOs), aggregators, agri-processors, and corporate anchors into a unified credit ecosystem.

This comprehensive training manual serves as an exhaustive reference white paper and study guide. Reading this document alone equips finance professionals, credit underwriters, trade finance specialists, and enterprise borrowers with end-to-end expertise on Agri Supply Chain Funding in India.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 1: Theoretical Foundations, Statutory Definitions & Product Philosophy of Agri Supply Chain Funding

1.1 Structural Definition & Core Concept

Agri Supply Chain Funding (also known as Agribusiness Supply Chain Finance or Agri-SCF) is a structured, multiparty financial arrangement wherein credit is extended across the agricultural value chain based on the commercial strength, transaction history, and contractual purchase obligations of a creditworthy corporate buyer (known as the "Anchor"), rather than relying solely on the standalone balance sheet strength of individual farmers, aggregators, or small suppliers.

In a traditional credit environment, an individual farmer or FPO seeking working capital is restricted by limited tangible collateral, unorganized land records, or modest balance sheet equity. Agri Supply Chain Funding fundamentally transforms this paradigm by shifting the credit risk assessment from the fragmented seller (Farmer/FPO) to the institutional buyer (Processor/Anchor). By capturing cash flows at the point of trade settlement and leveraging technology-enabled invoice tracking, institutional lenders can provide timely, low-cost liquidity at every stage—from pre-harvest input purchasing to post-harvest warehouse storage and final processing.

1.2 The Agri Liquidity & Cash Flow Mismatch Paradox

Agricultural commerce in India is inherently subject to the *Seasonal Cash Flow Mismatch Paradox*: 1. **Harvest Peak Price Discounts:** Farmers and aggregators harvest crops during narrow seasonal windows (e.g., Kharif and Rabi harvests). During peak harvest weeks, spot market supply surges, causing local mandi prices to drop significantly. 2. **Capital Lockup for Processors:** Agri-processing anchors (such as sugar mills, edible oil refiners, spice exporters, and grain millers) must procure vast quantities of raw agricultural commodities during these harvest windows to secure raw material supply for the entire operational year. However, paying 100% cash upfront for 6 to 12 months of inventory creates severe working capital distress. 3. **Delayed Liquidity for Farmers:** Conversely, if processors buy commodities on credit, farmers face prolonged payment delays of 60 to 180 days, depriving them of immediate cash needed to purchase inputs for the next planting season.

Agri Supply Chain Funding resolves this paradox completely. The institutional lender pays the farmer or FPO immediately upon crop delivery (within 24 to 48 hours), while extending a structured 90-to-180-day usance credit facility to the corporate anchor. This preserves the anchor's operational cash reserves while ensuring instant liquidity for rural producers.

1.3 Priority Sector Lending (PSL) Directives & Regulatory Framework

Under the Reserve Bank of India (RBI) Master Directions on Priority Sector Lending (PSL), credit extended to agriculture and allied activities enjoys mandatory statutory allocation requirements for commercial banks in India: * **Overall Agri-PSL Target:** Domestic commercial banks and foreign banks with 20+ branches must allocate **18% of Adjusted**

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Net Bank Credit (ANBC) or Credit Equivalent Amount of Off-Balance Sheet Exposure (CEOBE), whichever is higher, to Agriculture. * **Small & Marginal Farmers (SMF) Sub-Target:** Within the 18% agri-target, a dedicated **10% sub-target** is mandated specifically for Small and Marginal Farmers (defined as farmers cultivating land up to 2 hectares, or FPOs where at least 75% of members are SMFs). * **Agri-Infrastructure & Ancillary Activities:** Credit extended to FPOs, warehouse receipt financing (eNWR), cold storage development, and agri-processing units qualify directly under Agriculture PSL, making institutional lenders highly eager to deploy capital into structured Agri Supply Chain programs at competitive interest rates. * **Credit Guarantee Schemes:** Lenders frequently combine Agri Supply Chain limits with statutory credit guarantee covers, such as the Credit Guarantee Fund Trust for Micro and Small Enterprises (**CGTMSE**), the Credit Guarantee Fund for FPOs managed by **NABSANRAKSHAN** (a subsidiary of NABARD), or the Agriculture Infrastructure Fund (AIF), providing up to 85% sovereign risk cover on defaults.

1.4 Legal Foundations: Pledge, Bailment, and Warehousing Statutes

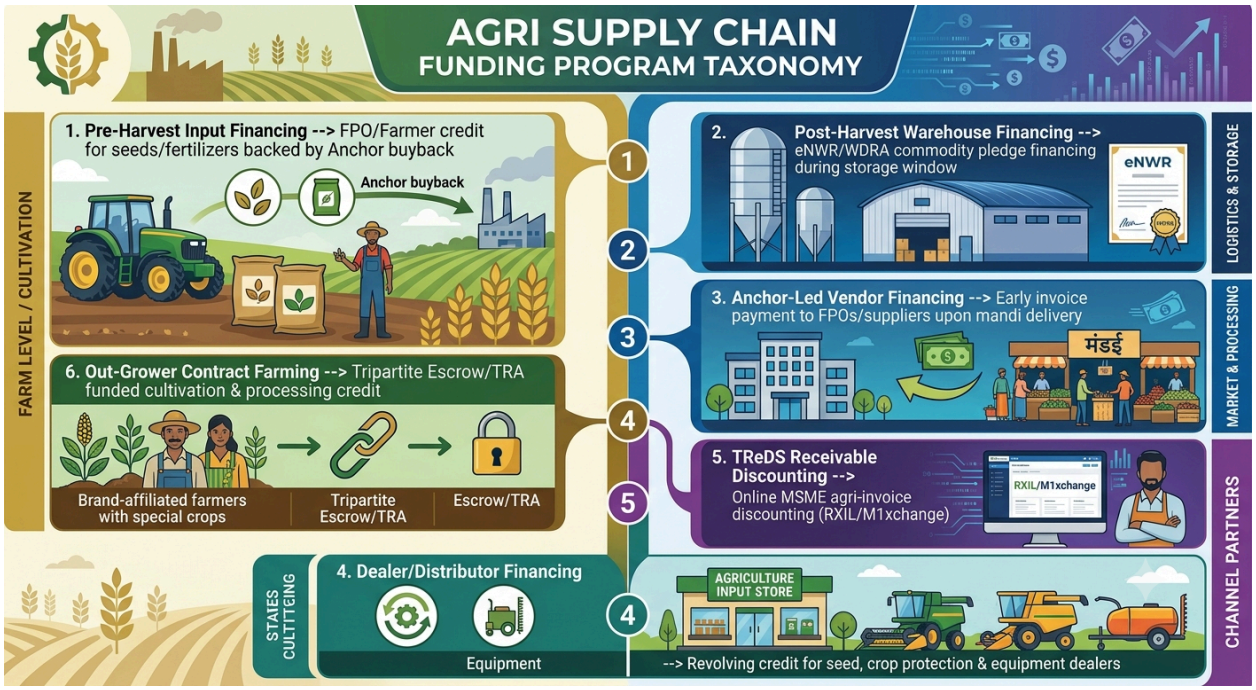
The legal architecture of Agri Supply Chain Funding in India rests upon four foundational statutes: 1. **Indian Contract Act, 1872 (Section 148 - Bailment):** Defines the delivery of agricultural goods by one person (bailor) to another (bailee) for a specific operational purpose under an express or implied contract. 2. **Indian Contract Act, 1872 (Section 172 - Pledge):** Establishes the bailment of agricultural goods or electronic warehouse receipts as security for the payment of a debt or performance of a promise. The lender (Pawnee) obtains constructive possession and a special property interest in the goods. 3. **Warehousing (Development and Regulation) Act, 2007 (WDRA):** Establishes the Warehousing Development and Regulatory Authority (WDRA) to regulate warehouses and introduce **Electronic Negotiable Warehouse Receipts (eNWRs)**. Issued via accredited repositories like National E-Repository Limited (NERL) and Commodities Repository India Limited (CCRL), eNWRs represent immutable, digital title documents to stored agricultural commodities that can be pledged online seamlessly. 4. **Trade Receivables Discounting System (TReDS) Guidelines:** Regulated by RBI under the Payment and Settlement Systems Act, 2007, enabling MSME agri-suppliers and FPOs to discount their trade invoices against corporate buyers on transparent, online bidding platforms.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 2: Structural Taxonomy and Comparative Capital Matrix

2.1 The Six Core Programs of Agri Supply Chain Finance

Agri Supply Chain Funding in India is executed through six specialized, interconnected program structures:



1. **Pre-Harvest Input Financing:** Lenders extend credit to FPOs or farmer clusters to purchase high-quality seeds, fertilizers, and crop protection chemicals. Sizing is based on a tripartite contract between the FPO, the Input Supplier, and the Corporate Offtaker (Anchor) who guarantees crop buyback at harvest.
2. **Post-Harvest Warehouse Receipt / Commodity Pledge Financing:** Commodities stored in WDRA-accredited or bank-empanelled professional warehouses are converted into eNWRs. Lenders grant a revolving Overdraft (OD) or Working Capital Demand Loan (WCDL) of 60% to 80% against the lien-marked eNWR.
3. **Anchor-Led Vendor/Supplier Financing (Payable Financing):** The Corporate Anchor approves digital invoices generated by FPOs or aggregators upon crop delivery at processing plants. The bank discounts the approved invoice and disburses funds directly into the FPO's bank account, collecting full payment from the Anchor at usance maturity (60 to 180 days).
4. **Dealer/Distributor Financing (Channel Financing):** Extends revolving credit lines to authorized distributors and dealers of seeds, fertilizers, tractor equipment, or processed agri-products. Draws are triggered when the Anchor issues a

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

confirmed invoice/purchase order, ensuring the Anchor receives immediate sales realization while dealers enjoy extended payment terms.

5. **Receivable Discounting / Factoring on TReDS:** MSME agri-suppliers and FPOs upload digital invoices onto RBI-approved TReDS platforms (RXIL, M1xchange, Invoicemart). Institutional financiers bid competitively to discount the invoice without requiring physical collateral from the FPO.
6. **Out-Grower / Contract Farming Structured Credit:** Tailored for corporate contract farming structures (e.g., sugarcane, malting barley, gherkins, dairy). Loans are disbursed to farmers via a Trust & Retention Account (TRA), and the Anchor deducts loan repayments directly from crop purchase proceeds before remitting net balances to farmers.

2.2 Comparative Capital Matrix

The following matrix highlights the operational, legal, and financial distinctions between **Agri Supply Chain Funding** and alternative credit facilities available in India:

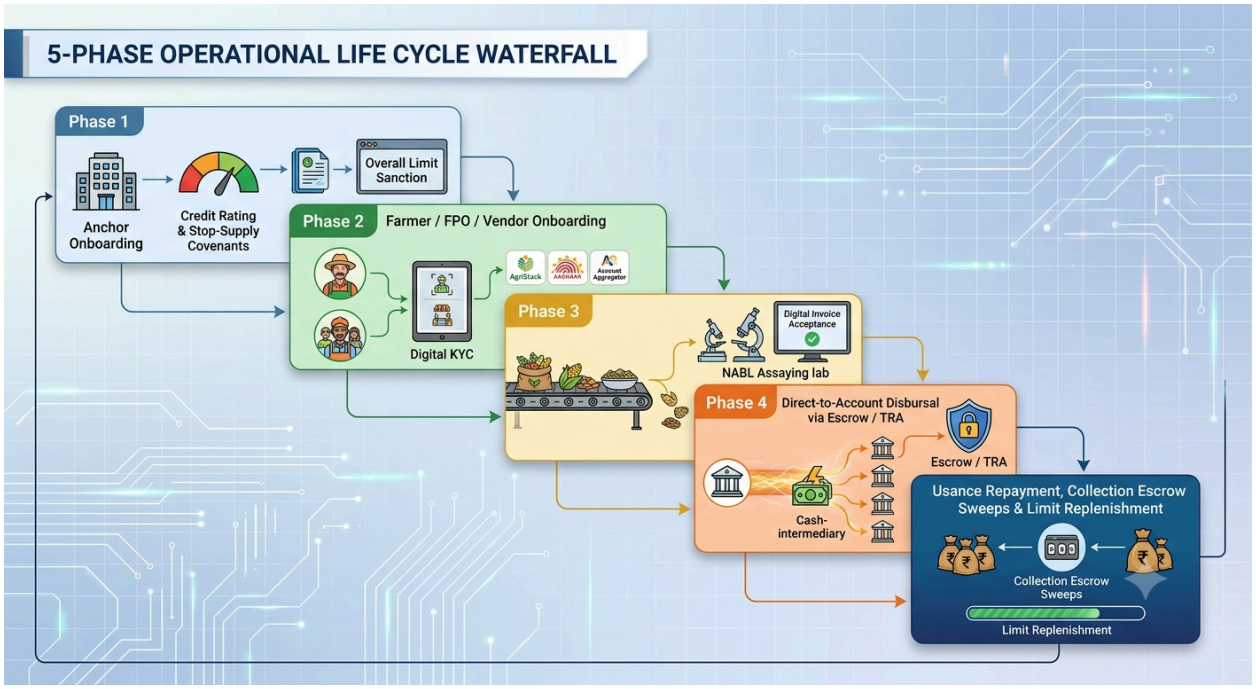
Parameter	Agri Supply Chain Funding (Anchor-Led / eNWR)	Traditional Kisan Credit Card (KCC) / Agri CC	Unsecured Business Loan	Loan Against Property (LAP)
Primary Credit Basis	Corporate Anchor rating & Underlying Commodity/eNWR	Land holding size & Crop pattern	Borrower balance sheet & Cash flows	Immovable real estate property value
Loan-to-Value (LTV) Ratio	70% to 90% of invoice / eNWR market value	Scaled to Scale of Finance (SoF) per acre	N/A (Unsecured multiplier of PAT/Turnover)	50% to 65% of Fair Market Value
Turnaround Time (TAT)	24 to 72 Hours (Digital API integration)	15 to 30 Days (Manual land checks)	3 to 7 Days	15 to 30 Days (Legal title search)
Interest Rate Range	7.50% - 10.50% p.a. (PSL-linked)	7.00% - 11.00% p.a. (Subvention dependent)	15.00% - 24.00% p.a.	9.00% - 12.50% p.a.
Collateral Requirement	Hypothecation of Inventory/Receivables + eNWR Pledge	Agricultural Land Mortgage / Revenue Lien	Personal Guarantee only	Equitable/Registered Real Estate Mortgage
End-Use Control	100% Strict (Direct RTGS to supplier / Escrow)	Moderate (Cash withdrawals permitted)	Low (Lump-sum account credit)	Moderate to Low
CERSAI & ROC Charge	Mandatory CERSAI + ROC Form CHG-1 (within 30 days)	Revenue Land Record Entry / State Lien	None	CERSAI + ROC Form CHG-1
PSL Classification	Direct Agriculture / Agri-Infra / MSME PSL	Direct Agriculture PSL	Non-PSL (generally)	Non-PSL (unless specific end-use)

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 3: The End-to-End Operational Lifecycle of Agri Supply Chain Finance

3.1 The 5-Phase Operational Waterfall

The execution of an Agri Supply Chain Funding facility follows a disciplined, 5-phase operational pipeline designed to mitigate credit, operational, and commodity price risks:



Phase 1: Corporate Anchor Onboarding & Credit Sizing

- **Anchor Evaluation:** The bank assesses the financial health, credit rating (minimum Investment Grade BBB/A), market reputation, and payment track record of the Corporate Anchor (e.g., a major sugar mill, dairy, or FMCG giant).
- **Master Facility Sanction:** An aggregate Supply Chain Limit (e.g., ₹50 Crores) is sanctioned to the Anchor. The Anchor signs a Master Supply Chain Agreement agreeing to validate invoices, honor accepted bills unconditionally on due dates, and enforce "stop-supply" covenants if vendors default.

Phase 2: Vendor / FPO Onboarding & Digital Onboarding

- **Digital Onboarding:** FPOs, aggregators, and farmers registered with the Anchor are onboarded onto the lender's digital SCF portal.
- **KYC & Verification:** Digital KYC is completed using Aadhaar, PAN, GSTIN, and land ownership records via Agristack / APMC database APIs. Bank statements are fetched digitally via RBI-regulated Account Aggregators.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Phase 3: Commodity Delivery, Quality Assaying & Invoice Generation

- **Delivery & Sampling:** The farmer or FPO delivers the harvest (e.g., turmeric, paddy, wheat, soybeans) to the Anchor's processing plant, mandis, or WDRA-registered warehouse.
- **Quality Assaying:** NABL-accredited or professional assayers test moisture content, foreign matter, admixture, and grain quality. An electronic Goods Receipt Note (GRN) or Quality Certificate is issued.
- **Invoice Acceptance:** The vendor generates an electronic invoice. The Anchor logs onto the portal and digitally signs the invoice, confirming acceptance of goods and committing to pay the bank on the designated maturity date.

Phase 4: Monitored Direct Disbursal (Direct Benefit Transfer Style)

- **Discounting Request:** Upon invoice approval, the SCF platform automatically calculates the loan amount based on the sanctioned LTV (e.g., 85% of invoice value).
- **Direct Disbursal:** The discounted net proceeds are remitted directly into the FPO's or farmer's verified bank account via RTGS/NEFT within 24 hours. No cash is handed to intermediaries, eliminating fund diversion.

Phase 5: Usance Repayment, Escrow Sweeps & Limit Replenishment

- **Maturity Collection:** On the usance due date (e.g., Day 90), the Corporate Anchor remits 100% of the invoice value directly into the designated Trust & Retention Account (TRA) / Escrow Account maintained with the lender.
- **Principal & Interest Settlement:** The lender automatically sweeps the principal loan balance and accrued interest. Any remaining surplus balance is credited back to the vendor's account, and the revolving credit limit is instantly replenished for subsequent purchase cycles.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 4: Underwriting Framework, Financial Assessment & Credit Risk Scorecards

4.1 Corporate Anchor Underwriting & Debt Capacity Sizing

Underwriting an Agri Supply Chain program begins with a rigorous evaluation of the Corporate Anchor. Key financial and operational parameters include:

1. **Credit Rating & Balance Sheet Capacity:** Minimum investment-grade rating (CRISIL/ICRA/CARE BBB- or higher). Corporate Debt-to-EBITDA must typically remain below **3.50x**, with an Interest Coverage Ratio (**ICR) of 1.50x**.
2. **Anchor Procurement Velocity:** Evaluation of historical procurement volumes, seasonal purchasing peaks, crop diversification across geographies, and historical order cancellation rates.
3. **Anchor Payment Track Record:** Analysis of Days Payable Outstanding (DPO), trade credit payment consistency, and historical vendor disputes (<1% invoice rejection rate).

4.2 Working Capital Sizing Guidelines for Processing Entities

For agri-processing anchors, millers, and aggregators, working capital requirements are sized using three statutory methods prescribed by RBI guidelines:

1. Tandon Committee Second Method of Lending (Maximum Permissible Bank Finance - MPBF)

Applicable for larger corporate anchors and processing units with working capital limits exceeding ₹5 Crores:

$$extTotalCurrentAssets(TCA) - extCurrentLiabilities(excl.BankBorrowings) = extWorkingCapital($$

$$extMPBF = 0.75imesextWCG = 0.75imes(extTCA - extOtherCurrentLiabilities)$$

Under this method, the borrower must contribute at least **25% of Total Current Assets** as Net Working Capital (NWC) from long-term equity or retained earnings, resulting in a mandatory Minimum Current Ratio of **1.33:1**.

2. Projected Turnover Method (Nayak Committee Norms)

Applicable for small agri-MSMEs, FPOs, and processors with credit limits up to ₹5 Crores:

$$extAssessedWorkingCapitalRequirement = 25\%imesextProjectedGrossAnnualTurnover$$

$$extMinimumBorrowerMarginContribution = 5\%imesextProjectedGrossAnnualTurnover$$

$$extMaximumBankCreditLimit(NFC) = 20\%imesextProjectedGrossAnnualTurnover$$

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

3. Cash Budget Method

Mandatory for highly seasonal agri-businesses (such as Sugar Mills, Cotton Ginning, Rice Milling, and Fertilizer Manufacturers), where peak seasonal inventory holding lasts 3 to 6 months followed by lean periods. Peak Drawing Power (DP) is approved based on monthly projected cash inflow and outflow statements.

4.3 FPO & Vendor Credit Scorecard Metrics

When underwriting FPOs, aggregators, and dealers under the Supply Chain umbrella, lenders employ a hybrid quantitative and qualitative scorecard:



Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 5: Legal Security Architecture, Contractual Covenants & Statutory Framework

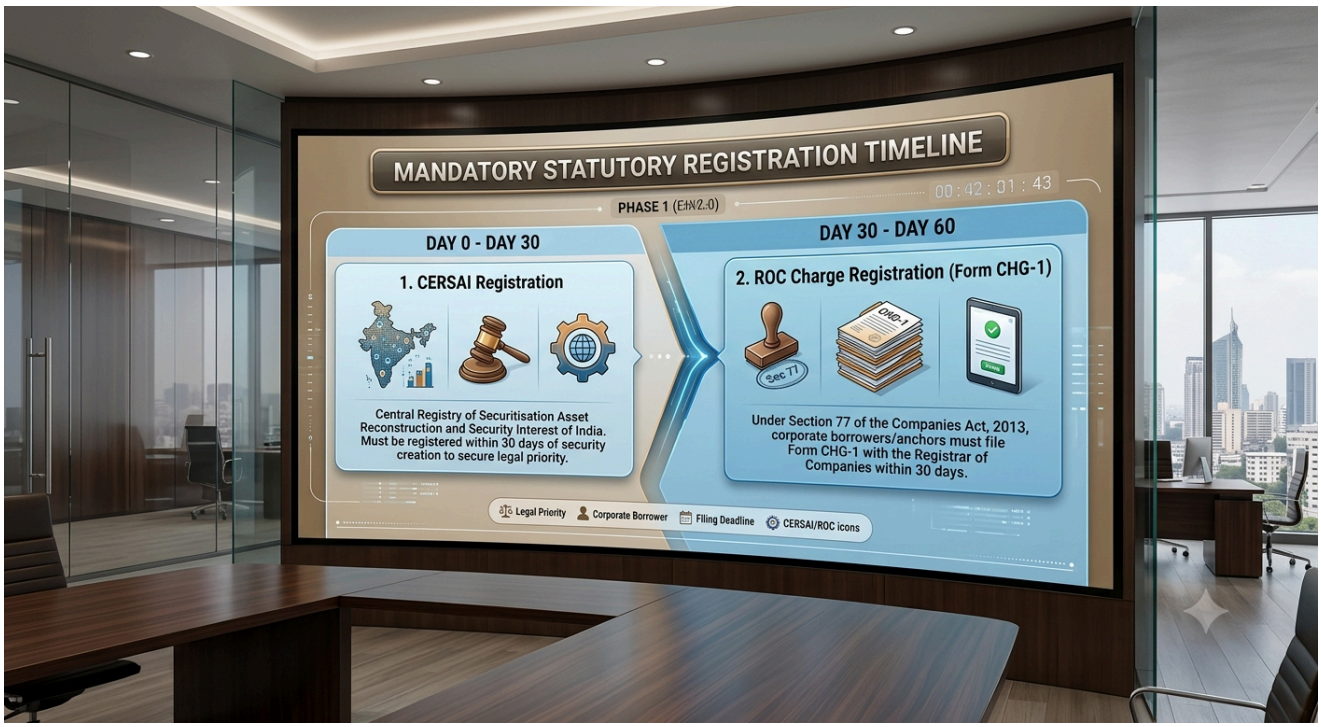
5.1 Primary Legal Charges & Collateralization

The legal security framework of Agri Supply Chain Funding combines primary asset hypothecation, pledge charges, and corporate contractual guarantees:

1. **Hypothecation Charge over Current Assets:** A primary charge created under **Section 2(1)(n) of the SARFAESI Act, 2002** over all current assets, stock-in-trade, raw materials, work-in-progress, finished agricultural goods, and book debts/receivables of the borrower.
2. **Pledge over Electronic Negotiable Warehouse Receipts (eNWR):** Executed under **Section 172 of the Indian Contract Act, 1872**. The lender marks an online lien in the repository (NERL/CCRL). The warehouse manager becomes the legal bailee holding goods on behalf of the Pawnee bank.
3. **Tripartite Escrow & Trust & Retention Account (TRA) Agreement:** Executed between the Vendor/FPO, the Corporate Anchor, and the Lender. The Anchor covenants that all payments for delivered goods shall be remitted exclusively into the designated Escrow TRA account, bypassing the vendor's general bank accounts.

5.2 Mandatory Statutory Registration & Filings

To enforce legal priority against third-party creditors and insolvency liquidators, lenders must execute two mandatory statutory filings:



Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

- **CERSAI Registration:** Registration of hypothecation and pledge charges on the CERSAI portal within 30 days of creation. Failure to register renders the charge void against any subsequent liquidator or creditor under Section 26C of the SARFAESI Act.
- **ROC Charge Creation (Form CHG-1):** Under Section 77 of the Companies Act, 2013, corporate anchors and borrowers must register the charge with the Registrar of Companies (ROC) by filing Form CHG-1 within 30 days. Non-registration makes the credit facility unsecured in the event of Corporate Insolvency Resolution Process (CIRP) under the Insolvency and Bankruptcy Code (IBC), 2016.

5.3 Pawnee Statutory Foreclosure & Summary Recovery Powers

If an agri-borrower or Anchor defaults, institutional lenders possess robust statutory enforcement mechanisms:

1. **Pawnee's Out-of-Court Foreclosure Rights (Contract Act Section 176):** Under Section 176 of the Indian Contract Act, 1872, if the borrower defaults in debt repayment, the Pawnee (lender holding an eNWR/pledge) has the absolute legal right to sell the pledged agricultural commodity in the open market or commodity exchange (NCDEX/MCX) after issuing a mandatory **reasonable notice of intended sale** to the Pledger. Crucially, this power can be exercised out-of-court without waiting for a civil court or DRT decree!
2. **SARFAESI Repossession Powers (Sections 13 & 14):** For hypothecated inventory, the lender issues a 60-day demand notice under Section 13(2). Upon non-payment, the lender takes physical possession of hypothecated stocks and processing plants under Section 13(4) with District Magistrate (DM) assistance under Section 14.
3. **Enforcement against Dishonored Mandates:** Criminal prosecution under **Section 138 of the Negotiable Instruments Act, 1881** and **Section 25 of the Payment and Settlement Systems Act, 2007** for dishonored NACH/e-NACH auto-debit mandates, carrying penalties of up to 2 years' imprisonment and double the mandate value.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 6: Suitable Sectors, Business Profiles & Market Alignment

6.1 High-Potential Agri Sub-Sectors

Agri Supply Chain Funding is ideally suited for structured agribusiness ecosystems across India:

1. **Sugar Mills & Ethanol Blending Ecosystems:** Sugar mills procuring sugarcane from thousands of smallholder farmers. Fast-track invoice discounting and out-grower funding enable mills to pay farmers within statutory 14-day Fair and Remunerative Price (FRP) timelines while managing 180-day ethanol supply realization cycles with OMCs (IOCL, BPCL, HPCL).
2. **Dairy Cooperatives & Private Dairies:** Daily milk collection from village pooling centers. Daily/weekly supply chain financing ensures instant DBT payment to dairy farmers while funding cold-chain logistics and processed milk product inventory (powder, butter, cheese).
3. **Spice Exporters & Processors:** High-value spice processing (cardamom, chilli, cumin, black pepper, turmeric). Paddy/spice aggregators leverage eNWR pledge funding during harvest processing before exporting to global markets.
4. **Edible Oil Refiners & Solvent Extractors:** Processing mustard, soybean, palm, and sunflower seeds. Raw seed procurement requires massive upfront capital, funded via anchor-led supplier discounting and warehouse receipt overdrafts.
5. **Seed, Crop Protection & Fertilizer Manufacturers:** Manufacturers of agricultural inputs utilize Channel Financing / Dealer Financing to extend revolving 90-day credit lines to rural retail dealers during planting seasons.

6.2 Macroeconomic Footprint & Commercial Market Context

Citing commercial credit statistics from leading credit bureaus (CRIF High Mark, SIDBI MSME Pulse), agricultural commodity traders and agribusinesses represent a major share of India's commercial borrowing landscape: * **Trader Segment Dominance: Retail and Wholesale Traders (including agri-commodity traders and distributors) represent 44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore credit exposure segment across India. * **Institutional Trade Platforms:** State Bank of India's (SBI) digital supply chain platforms demonstrate massive scale, with **e-DFS (Electronic Dealer Financing Scheme) executing ₹49,261 Crores** in dealer disbursements and **e-VFS (Electronic Vendor Financing Scheme) executing ₹28,092 Crores** in vendor invoice discounting, underscoring the shift toward digital supply chain credit.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 7: Pricing Mechanics, Interest Tax Shields & Cost-Benefit Analysis

7.1 Commercial Pricing Components

The pricing architecture of Agri Supply Chain Funding consists of three core components:

1. **Benchmark Interest Rate:** Floating interest rate linked to the bank's **External Benchmark Lending Rate (EBLR)** (such as RBI Repo Rate + Spread) for MSMEs/FPOs, or **MCLR (Marginal Cost of Funds based Lending Rate)** for large corporate anchors. Current prevailing yields range from **7.50% to 10.50% p.a.** for PSL-qualifying agri-credit.
2. **Upfront Processing & Structuring Fees:** A nominal fee ranging from **0.25% to 1.00%** of the sanctioned limit, covering digital platform integration, legal documentation, and warehouse inspection.
3. **Goods and Services Tax (GST) Treatment:**
   - **Interest Charge GST Exemption:** Under Notification No. 12/2017-Central Tax (Rate), interest paid on loans, advances, or discounted invoices is **completely EXEMPT from GST**.
   - **Processing Fees & Service Charges:** Processing fees, documentation charges, and platform usage fees attract **18% GST**. However, for GST-registered FPOs, aggregators, and corporate anchors, this 18% GST is **100% recoverable as Input Tax Credit (ITC)** against outward GST liabilities.

7.2 Income Tax Shield Mechanics (Section 36(1)(iii))

Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid on capital borrowed for business operations is fully deductible as an operating expense from gross business income.

For a corporate tax-paying entity operating under the concessional tax regime of **Section 115BAA (25.17% effective corporate tax rate including surcharge and cess)**, the net post-tax cost of financing is calculated as:

$$extNetPost - TaxInterestRate = extPre - TaxInterestRateimes(1 - extCorporateTaxRate)$$

$$extNetPost - TaxInterestRate = 8.75\%imes(1 - 0.2517) = 6.55\%extp.a.$$

This substantial tax shield reduces the effective interest burden by over a quarter, enhancing the financial viability of structured supply chain credit compared to equity funding or unorganized trade credit.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 8: Regulatory Compliance, RBI Directions, PSL Norms & Asset Classification

8.1 Priority Sector Lending (PSL) Compliance Framework

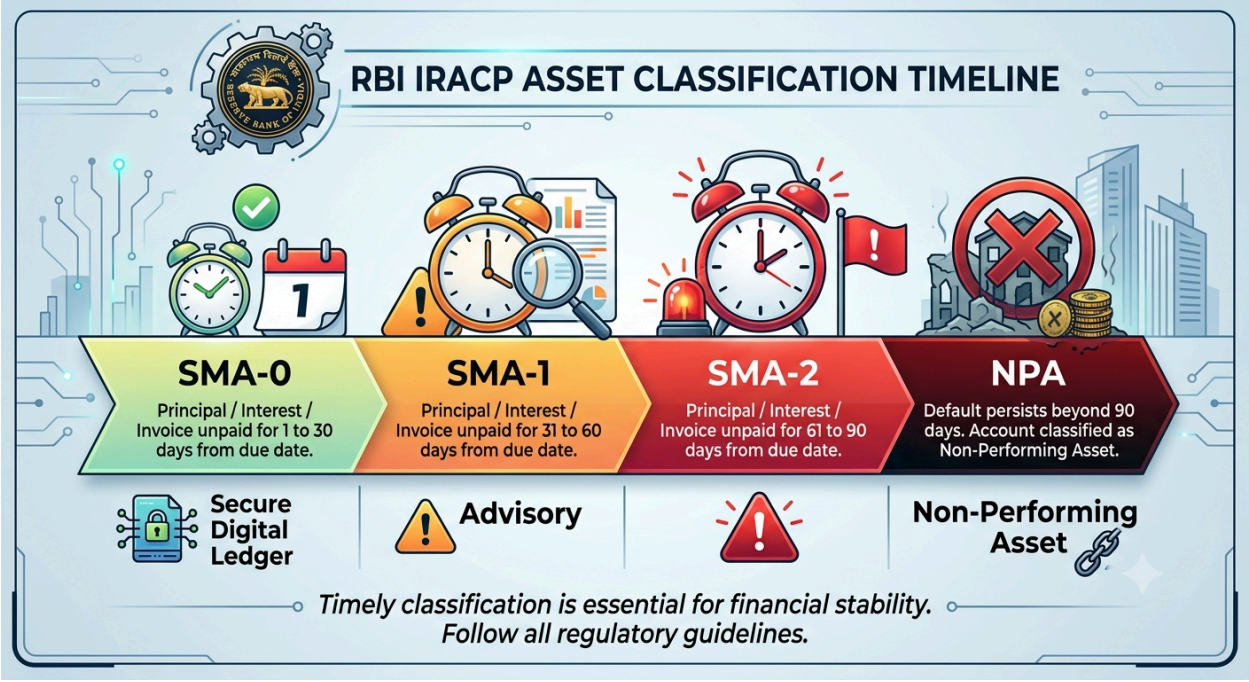
Agri Supply Chain Funding facilities are structured to optimize PSL compliance for institutional lenders: * **FPO Credit Limits:** Direct loans to FPOs up to **₹5 Crores per FPO** qualify as Priority Sector Lending under Agriculture - Ancillary Activities. * **Warehouse Receipt Financing Limits:** Loans against eNWRs up to **₹75 Lakhs per borrower** (and non-eNWR warehouse receipts up to ₹50 Lakhs per borrower) qualify under Priority Sector Lending for Agriculture. * **Agri-Processing Units:** Working capital facilities for micro and small agri-processing units qualify under MSME - Priority Sector Lending.

8.2 TReDS Guidelines for Agri-MSMEs

Under the RBI Guidelines for Trade Receivables Discounting System (TReDS): * FPOs and MSME agri-suppliers can upload invoices generated against corporate buyers. * Bidding is competitive and **without recourse** to the MSME supplier / FPO once the buyer accepts the invoice. * Discounting on TReDS does not impact the FPO's standalone borrowing limits, as the credit exposure is assigned entirely to the corporate buyer.

8.3 Asset Classification & IRACP Prudential Norms

All Agri Supply Chain facilities are governed by the RBI Master Circular on **Income Recognition, Asset Classification and Provisioning (IRACP)**:



Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Special Mention Account (SMA) & NPA Delinquency Clocks

- **SMA-0:** Payment overdue for 1 to 30 days. Early warning signal triggered on SCF digital platform.
- **SMA-1:** Payment overdue for 31 to 60 days. Anchor contacted; stop-supply warning issued.
- **SMA-2:** Payment overdue for 61 to 90 days. Anchor's overall SCF limit frozen across all vendors.
- **NPA Classification:** Default persisting for **more than 90 days**. The account is classified as a Substandard Asset, requiring mandatory 15% provisioning by the bank.

Revolving Overdraft "Out of Order" Rule

For revolving commodity pledge overdrafts (against eNWRs), an account is classified as **"Out of Order"** and designated as NPA if: 1. The outstanding balance remains continuously in excess of the approved Sanctioned Limit / Drawing Power for **90 days**; OR 2. The outstanding balance is less than the Sanctioned Limit / Drawing Power, but no credits are deposited into the account for **90 days**, or credits are insufficient to cover the interest debited during the same period.

The 180-Day Technical Review Default Rule

Agri Supply Chain limits must undergo a formal annual review. If a credit limit is not renewed within **180 days from the due date of renewal**, the facility is automatically classified as NPA, regardless of whether payments are current.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 9: Comprehensive Real-World Case Study (Mumbai Organic Spices & Agri-Processors Pvt. Ltd.)

9.1 Business Background & Transaction Overview

- **Borrower Entity:** *Mumbai Organic Spices & Agri-Processors Pvt. Ltd. (MOSAPL)*, a leading spice processing and export anchor located in Navi Mumbai, Maharashtra.
- **Corporate Tax Status:** Covered under Section 115BAA with an effective corporate tax rate of **25.17%**.
- **Internal Return on Capital Employed (ROCE): 16.00% p.a.** on operational business investments.
- **Procurement Scenario:** During the peak 180-day harvest season for organic turmeric and chilli, MOSAPL needs to procure **₹20,00,00,000 (₹20 Crores)** worth of raw spices directly from a consortium of **500 FPO farmers** across Maharashtra and Andhra Pradesh.
- **The Commercial Objective:** MOSAPL seeks to secure 100% of its seasonal raw spice requirement at peak harvest price discounts (saving 12% on raw material costs) without locking up ₹20 Crores of internal cash reserves, while ensuring the 500 FPO farmers receive immediate 100% cash payments upon crop delivery.

9.2 Financial Option Analysis: Option A vs. Option B

Option A: Traditional Unsecured Short-Term Loan (30% Cash Equity Margin)

Under traditional short-term unsecured corporate debt: * **Bank Loan Sizing:** Bank funds 70% LTV = **₹14,00,00,000 (₹14 Crores)**. * **Borrower Equity Margin (30%):** MOSAPL must contribute 30% = **₹6,00,00,000 (₹6 Crores)** in upfront cash reserves. * **Unsecured Loan Interest Rate: 16.50% p.a.** * **Financing Tenure:** 180 Days. * **Upfront Processing Fee:** 1.50% on ₹14 Crores = **₹21,00,000.00** (+ 18% GST = ₹3,78,000, recoverable as ITC).

Mathematical Calculations for Option A:

1. **Gross Interest Expense (180 Days):**

$$extGrossInterest = ₹14,00,00,000 imes 16.50\% imesrac 180 365 = ₹1,13,91,780.82$$

2. **Corporate Income Tax Shield (25.17% Rate):**

$$extTaxShield = ₹1,13,91,780.82 imes 25.17\% = - ₹28,67,311.23$$

3. **Net Post-Tax Interest Cost:**

$$extNetInterestCost = ₹1,13,91,780.82 - ₹28,67,311.23 = ₹85,24,469.59$$

4. **Opportunity Cost of Locked Capital:** MOSAPL locks up **₹6,00,00,000** in cash equity margin for 180 days instead of deploying it in core export operations earning 16.00% p.a. ROCE:

$$extOpportunityCostLost = ₹6,00,00,000 imes 16.00\% imesrac 180 365 = + ₹47,34,246.58$$

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

5. **Total Opportunity-Adjusted Post-Tax Financing Cost (Option A):**

$$extTotalCost(OptionA) = ₹85,24,469.59 + ₹21,00,000.00 + ₹47,34,246.58 = ₹1,53,58,716.17$$

$$extEffectiveAnnualizedPost - TaxBorrowingYield(OptionA) = rac₹1,53,58,716.17₹14,00,00,000$$

Option B: Structured Anchor-Led Agri Supply Chain Facility (90% LTV)

MOSAPL executes a structured Agri Supply Chain Finance program with an institutional lender under Priority Sector Lending (PSL) guidelines: * **Facility Sizing:** Lender funds 90% LTV against approved FPO invoices = **₹18,00,00,000 (₹18 Crores)** disbursed directly to FPO bank accounts within 24 hours. * **Cash Margin Deposit (10%):** MOSAPL contributes 10% = **₹2,00,00,000 (₹2 Crores)** as a lien-marked Fixed Deposit (FD) earning **6.50% p.a. interest**. * **Preserved Operational Capital:** MOSAPL preserves **₹4,00,00,000 (₹4 Crores)** in cash compared to Option A (₹6 Cr down payment - ₹2 Cr FD). * **Supply Chain Interest Rate: 8.75% p.a.** (PSL Agriculture benchmark rate). * **Financing Tenure:** 180 Days. * **Upfront Processing Fee:** 0.50% on ₹18 Crores = **₹9,00,000.00** (+ 18% GST = ₹1,62,000, recoverable as ITC).

Mathematical Calculations for Option B:

1. **Gross Interest Expense (180 Days):**

$$extGrossInterest = ₹18,00,00,000imes8.75\%imesrac180365 = ₹77,67,123.29$$

2. **Pre-Tax FD Yield Earned on ₹2 Crore Cash Margin:**

$$extFDInterestEarned = ₹2,00,00,000imes6.50\%imesrac180365 = - ₹6,41,095.89$$

3. **Net Pre-Tax Finance Cost:**

$$extNetPre - TaxCost = ₹77,67,123.29 - ₹6,41,095.89 = ₹71,26,027.40$$

4. **Corporate Income Tax Shield (25.17% Rate under Sec 36(1)(iii)):**

$$extTaxShield = ₹71,26,027.40imes25.17\% = - ₹17,93,621.10$$

5. **Net Post-Tax Interest Cost:**

$$extNetPost - TaxInterest = ₹71,26,027.40 - ₹17,93,621.10 = ₹53,32,406.30$$

6. **ROCE Profits Earned on Preserved Capital (₹4 Crores):** By preserving ₹4,00,00,000 in liquid capital and reinvesting it in high-margin export spice contracts earning 16.00% p.a. ROCE:

$$extROCEProfitsEarned = ₹4,00,00,000imes16.00\%imesrac180365 = - ₹31,56,164.38$$

7. **Total Opportunity-Adjusted Post-Tax Financing Cost (Option B):**

$$extTotalCost(OptionB) = ₹53,32,406.30 + ₹9,00,000.00 - ₹31,56,164.38 = ₹30,76,241.92$$

$$extEffectiveAnnualizedPost - TaxBorrowingYieldOptionB = rac₹30,76,241.92₹18,00,00,000ime$$

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

9.3 Strategic & Financial Comparison

Metric / Financial Indicator	Option A: Unsecured Short-Term Loan	Option B: Structured Agri Supply Chain Facility	Strategic Financial Advantage
Total Facility Size	₹14,00,00,000 (70% LTV)	₹18,00,00,000 (90% LTV)	**+₹4,00,00,000 higher liquidity**
Borrower Cash Margin Required	₹6,00,00,000 (30% equity)	₹2,00,00,000 (10% FD margin)	**₹4,00,00,000 cash preserved**
Gross Pre-Tax Interest Outlay	₹1,13,91,780.82 @ 16.50% p.a.	₹77,67,123.29 @ 8.75% p.a.	**+₹36,24,657.53 interest saved**
FD Yield Earned on Margin	₹0.00	-₹6,41,095.89 @ 6.50% p.a.	**+₹6,41,095.89 FD income earned**
Section 36(1)(iii) Tax Shield	-₹28,67,311.23	-₹17,93,621.10	Substantial tax deduction
ROCE Earned on Preserved Cash	₹0.00	-₹31,56,164.38 @ 16.00% ROCE	**+₹31,56,164.38 export profits**
Net Post-Tax Adjusted Cost	**₹1,53,58,716.17**	**₹30,76,241.92**	**+₹1,22,82,474.25 Post-Tax Savings**
Effective Post-Tax Borrowing Yield	**22.25% p.a.**	**3.47% p.a.**	**Slashing yield by 18.78% p.a.!**

Direct Business Outcomes for MOSAPL:

1. **Net Strategic Cash Surplus:** Option B delivers an immediate **net post-tax financial savings of ₹1,22,82,474.25 (₹1.23 Crores)** over the 180-day procurement cycle!
2. **100% Farmer Satisfaction & Retention:** All 500 FPO farmers received 100% direct bank payment within 24 hours of crop delivery, securing 100% vendor retention and enabling MOSAPL to capture **₹2,40,00,000 (₹2.40 Crores)** in 12% peak harvest raw material discounts.
3. **Combined Strategic Value Surplus:** Combining direct financing savings (₹1.23 Cr) and harvest discounts (₹2.40 Cr) yields a total net value creation of **₹3,62,82,474.25 (₹3.63 Crores)** for MOSAPL!

Module 10: 10-Question Professional Certification Examination & Detailed Rationales

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Question 1

Under RBI Master Directions on Priority Sector Lending (PSL), what is the overall mandatory agricultural credit target for domestic commercial banks in India? * A) 10% of ANBC * B) 12% of ANBC * C) 18% of ANBC (with a 10% sub-target for Small and Marginal Farmers) * D) 25% of ANBC * **Correct Answer: C** * **Rationale:** RBI mandates that domestic commercial banks allocate 18% of Adjusted Net Bank Credit (ANBC) or CEOBE to Agriculture, with a specific sub-target of 10% for Small and Marginal Farmers (SMFs).

Question 2

What is the primary legal mechanism used to create a pledge charge over agricultural commodities stored in WDRA-registered warehouses? * A) Registered Real Estate Mortgage under Section 58(b) of the Transfer of Property Act * B) Demat Electronic Lien-Marking of eNWRs under Section 172 of the Indian Contract Act, 1872 * C) Hypothecation of Book Debts under Section 130 of the Transfer of Property Act * D) Unsecured Demand Promissory Note * **Correct Answer: B** * **Rationale:** Pledging commodities stored in WDRA warehouses is executed by marking an electronic lien on eNWRs via NERL/CCRL repositories under Section 172 (Pledge) of the Indian Contract Act, 1872.

Question 3

Under the Tandon Committee Second Method of Lending (MPBF), what is the minimum required Current Ratio for a corporate borrower? * A) 1.00:1 * B) 1.10:1 * C) 1.33:1 * D) 2.00:1 * **Correct Answer: C** * **Rationale:** The Tandon Committee Second Method requires the borrower to contribute at least 25% of Total Current Assets as Net Working Capital (NWC), establishing a minimum Current Ratio benchmark of 1.33:1.

Question 4

Under Section 176 of the Indian Contract Act, 1872, what statutory right does a Pawnee bank possess if an agri-pledge borrower defaults? * A) The bank must wait for a final decree from the Debts Recovery Tribunal (DRT) before selling commodities. * B) The bank has the right to sell the pledged commodities in the open market after giving reasonable notice to the pledger, without court intervention. * C) The pledged commodities automatically forfeit to the State Government. * D) The bank can only file a civil suit for money recovery and cannot sell the goods. * **Correct Answer: B** * **Rationale:** Section 176 gives the Pawnee the absolute statutory right to sell pledged goods out-of-court after issuing a mandatory reasonable notice of intended sale to the pledger.

Question 5

Within how many days must a security interest/hypothecation charge be registered on the CERSAI portal to secure legal priority against third-party creditors? * A) 10 Days * B) 15 Days * C) 30 Days * D) 90 Days * **Correct Answer: C** * **Rationale:** Security interests created over movable or immovable assets must be registered on the CERSAI portal within 30 days of creation under the SARFAESI Act, 2002.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Question 6

For a corporate borrower paying effective corporate tax at 25.17% (Section 115BAA), how does interest paid on an Agri Supply Chain facility affect tax liability? * A) Interest is not deductible for income tax purposes. * B) Interest is 100% deductible under Section 36(1)(iii) of the Income Tax Act, 1961, creating an effective tax shield that reduces net interest cost by 25.17%. * C) Interest incurs a mandatory 18% tax penalty. * D) Interest is credited directly to the RBI. * **Correct Answer: B** * **Rationale:** Section 36(1)(iii) permits full deduction of interest expenses incurred for business purposes, reducing net post-tax interest costs by the corporate tax rate percentage (25.17%).

Question 7

Under RBI TReDS guidelines, what is a key operational feature of invoice discounting for MSME agri-suppliers and FPOs? * A) The FPO remains 100% liable for payment if the corporate buyer defaults (Full Recourse). * B) Discounting is without recourse to the MSME supplier / FPO once the corporate buyer accepts the digital invoice. * C) Invoices can only be discounted if backed by real estate collateral. * D) TReDS platforms are managed directly by local APMC mandis. * **Correct Answer: B** * **Rationale:** Once a corporate buyer accepts an invoice on TReDS, discounting is executed without recourse to the MSME supplier or FPO, transferring credit exposure entirely to the buyer.

Question 8

According to national commercial credit bureau statistics, what percentage of active commercial borrowers in the ₹10 Lakh to ₹2 Crore exposure segment do Retail and Wholesale Traders (including agri-traders) represent in India? * A) 15% * B) 28% * C) 44% * D) 65% * **Correct Answer: C** * **Rationale:** Commercial credit statistics confirm that Retail and Wholesale Traders represent 44% of total active commercial borrowers in the ₹10 Lakh to ₹2 Crore credit segment in India.

Question 9

Under RBI IRACP norms, when is a revolving commodity pledge overdraft facility classified as “Out of Order”? * A) When the account balance remains continuously above the Sanctioned Limit / Drawing Power for 90 days. * B) When no credits are deposited into the account for 90 days, or credits are insufficient to cover interest debited during the period. * C) When the annual limit review is not completed within 180 days from the due date. * D) All of the above. * **Correct Answer: D** * **Rationale:** Under RBI IRACP directions, a revolving overdraft becomes “Out of Order” (and classified as NPA) if balance exceeds DP for 90 days, credits are zero/insufficient for 90 days, or renewal is overdue beyond 180 days.

Question 10

What is the GST treatment for interest charged on discounted invoices or supply chain credit facilities under Indian tax law? * A) Interest incurs 18% GST with no input tax credit. * B) Interest is completely EXEMPT from GST under Notification No. 12/2017-Central Tax

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

(Rate). * C) Interest incurs 28% GST. * D) Interest incurs 5% GST. * **Correct Answer: B** * **Rationale:** Notification No. 12/2017-Central Tax (Rate) specifically exempts interest paid on loans, advances, or discounted trade invoices from all GST.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.